

Kaduna State Internal Revenue Service

Guidance Note 4 of 2024 — Tax Clearance Certificates for Corporate Vendors

Issued: 9 September 2024 | Directorate of Assessment

1. Application

This guidance note applies to companies applying for a Tax Clearance Certificate in respect of assessment years 2021, 2022 and 2023 for the purpose of tendering for contracts with State Ministries, Departments and Agencies, and with corporate bodies requiring evidence of tax compliance as a condition of vendor registration.

2. Documents required

An application shall be accompanied by the certificate of incorporation, the memorandum and articles of association, audited financial statements for each year under application, evidence of payment of assessed liabilities, the annual returns filing receipt, and the Taxpayer Identification Number of the company and of each director.

Where a company has been dormant in any year under application, a statement to that effect signed by two directors and accompanied by bank statements covering the period shall be submitted in place of audited accounts.

3. Processing

Applications are processed within fourteen working days of receipt of a complete application. An application lacking any document listed at paragraph 2 shall not be treated as received. Applicants are notified of deficiencies by electronic mail to the address stated on the application form.

4. Outstanding liabilities

A certificate shall not be issued where an assessed liability remains outstanding. Where a liability is under objection, the applicant may apply for a provisional letter of good standing valid for ninety days, on deposit of not less than fifty per cent of the assessed amount.

5. Validity and verification

A Tax Clearance Certificate is valid until 31 December of the year of issue. Third parties may verify a certificate by quoting the certificate number to the Directorate of Assessment. Certificates issued before 1 January 2024 bear a different security feature and remain valid until expiry.

6. Offences

Presentation of a forged certificate is an offence and is reported to the appropriate authorities. The Service maintains a register of companies found to have presented forged certificates and such companies are ineligible to apply for a period of three years.